

BOARD MEETING OF THE CBA

MINUTES

(25.12.2018)

On the Refinancing Rate

The CBA Board Meeting of December 25, 2018 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan, and Martin Galstyan

The Board meeting opened with presentation of the Situation Report as of December 25, 2018. It addressed the developments on the inflation, external environment and real, fiscal and monetary sectors of the economy.

As low as 1.0 % inflation rate was observable in November of 2018 relative to the month's seasonality, which was mainly due to a price change in commodity groups "Fruit" and "Vegetable", with their combined contribution of -0.3 pp to the 12-month inflation. As a result, the 12-month inflation has decreased, amounting to 1.8% in late November. In November, core inflation also reduced, reaching 2.8% y/y, as the prices of a number of products have been lower than the end-year seasonal developments, which is determined by an estimated weak domestic demand.

Addressing the economic environment of the time, the Board summed up the fourth quarter's actual results, according to which the economic activity kept on slowing down primarily due to reduced output in agriculture sector and mining subindustry. Consequently, in January-November 2018, relative to the same reference period last year, the economic activity indicator has been 5.7%, and the annual economic growth is estimated at around 5.0%. The fourth quarter's domestic demand remains weak as well because of the influence of a contractionary fiscal policy and some slowing in spending in the private sector.

The Board addressed the external sector developments: in the fourth quarter the global economy grew generally in line with expectations and weakening of the inflation environment was further observable in basic commodity and food product markets of the world. In the meantime, the central banks of leading economies continue tightening their monetary conditions.

Referring to the developments in the domestic financial market, the Board agreed that mainly stable trends were observable in different segments of the market at the end of the year and that interest rates remained around the policy rate.

Following the presentation of the Situation Report and discussing of the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making a decision on the interest rate. The Board touched upon a number of factors affecting inflation, including the rise in customs duties at the start of the year, the impact of which on inflation is an estimated 0.1-0.4 pp. In general, the Board underscored the importance of the pace of fiscal policy to be implemented in 2019, which may considerably influence the developments in domestic demand. The Board also looked to the monetary stance of the Republic of Armenia, which grows more expansionary amid interest rate increases in the world. **In the outcome, whether the refinancing rate is to be left unchanged or lowered was considered in light of the future trajectory for inflation. The Board decided on leaving the interest rate unchanged, admitting that the current level is contractionary enough for the inflation to recover on a slow path. This, in fact, is assessed to be a more effective way in the context of contributing to maintaining real purchasing power and anchoring inflationary expectations in the country. It also implies that, in view of predictable macroeconomic developments, monetary conditions would need to be kept expansionary for a longer-term perspective for price stability in the medium run. As a result, the expectation is that the inflation will still run at a low level but will stabilize around the 4% target at the end of the forecast horizon.**

The Board also referred to existing inflationary risks. Mostly on a downside path, the risks are conditioned by both external and domestic factors. In the event these risks materialize, the Central Bank will adjust the monetary policy direction accordingly, while ensuring the price stability.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Deciding on the Interest Rate

CODE

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December 25, 2018

No. 229 A

Interest Rates of Operations by the Central Bank of the Republic of Armenia in the Financial Market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.5%.
 - 2.2 Deposit facility rate offered by the Central Bank to be 4.5%.
3. This decision shall take force on the day following the adoption thereof.

Arthur Javadyan,

Chairman of the Central Bank

December 25, 2018

c. Yerevan

PRESS RELEASE
25.12.2018

In the December 25, 2018 meeting, the Board of the Central Bank of Armenia (CBA) decided to leave the refinancing rate unchanged: at the level of 6.0%.

There was 1.0% inflation in November of 2018 against that of 2.0% registered in the same month of the previous year, which was mainly due to a relatively low growth of prices of seasonal products. In this circumstance, the 12-month inflation rate has reduced to 1.8% at the end of the month. The core inflation rate has also slowed down to some extent. The Board of the CBA estimates that the inflation environment will remain low in the upcoming months and the 12-month inflation rate will be running slightly below the lower part of the confidence band.

Global economic growth trends continued evolving in line with the forecasts, under which the central banks of leading countries further tightened their monetary policy conditions. This was concomitant with weakening of the inflation environment in the international markets of basic commodities, and the Board of the CBA considers that no inflationary pressures from the external sector are likely in the coming months.

The Board notes that aggregate demand remained relatively weak over the second half of the year due to persisting contractionary stance of the fiscal policy and some weakening of private spending. On the other hand, the low inflation environment amid sluggish private consumption growth rates has contributed to maintaining the real purchasing power and anchoring the inflationary expectations in the country.

In the situation described above, the Board of the CBA finds it appropriate to keep the refinancing rate at the current level which is estimated to be more expansionary, taking into account the interest rate rise in partner countries. At the same time, in view of the anticipated macroeconomic developments, to leave monetary conditions expansionary for a longer period of time will be needed for maintaining price stability in the medium run. As a result, the expectation is that inflation will still be running below the lower part of the confidence band and stabilizing around the 4% value at the end of forecast horizon.

Risks to fulfillment of the inflation target at the end of forecast horizon are still assessed to be downward, due to external and internal factors. However, should there be risks to the inflation and economic growth outlook deviating from the prediction scenario, the CBA will adjust the monetary policy directions accordingly, while ensuring the price stability.

Detailed information that underlies the decision on setting of the interest rate will be available in Press Release (Minutes on Interest Rate) to be published by January 16, 2019.

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Press Service of the Central Bank of Armenia